Illustration 12

Deepak is a dealer in stationery items. From the following transactions, pass journal entries for the month of January and February, 2018.

		₹
Jan.		
1	Commenced business with cash	2,00,000
2	Opened a bank account by depositing cash	1,00,000
3	'A 4 papers' sold on credit to Padmini and Co.	60,000
4	Bills received from Padmini and Co. for the amount due	
5	Bills received from Padmini and Co. discounted with the bank	58,000
Feb.		
15	Bills of Padmini and Co. dishonoured	

Solution

In the books of Deepak
Journal entries

Date	Particulars		L.F.	Debit ₹	Credit ₹
2018 Jan. 1	Cash A/c	Dr.		2,00,000	
	To Deepak's capital A/c				2,00,000
	(Capital contributed by Deepak)				
2	Bank A/c	Dr.		1,00,000	
	To Cash A/c				1,00,000
	(Cash deposited with the bank)				
3	Padmini and Co. A/c	Dr.		60,000	
	To Sales A/c				60,000
	(Credit sales to Padmini and Co.)				
4	Bills receivable A/c	Dr.		60,000	
	To Padmini and Co. A/c				60,000
	(Bill received for the amount due)				
5	Bank A/c	Dr.		58,000	
	Discount A/c	Dr.		2,000	
	To Bills receivable A/c				60,000
	(Bills receivable discounted with the bank)				
Feb. 15	Padmini and Co. A/c	Dr.		60,000	
	To Bank A/c				60,000
	(Bill discounted with the bank dishonoured)				

3.8.7 Advantages of journal

Following are the advantages of journal:

(i) Complete information about the business transactions can be obtained on time basis as the transactions are recorded in chronological order.

(ii) Correctness of the entry can be checked through narration.

(iii) Journal forms the basis for posting the entries in the ledger.

Accountancy - Unit-03.indd 56 12/12/2021 6:13:56 PM